

saw deep undervaluation as a prod impelling “stockholders to raise the question whether it is in their interest to continue the business,” and “management to take all proper steps to correct the obvious disparity between market quotation and intrinsic value, including a reconsideration of its own policies and a frank justification to the stockholders of its decision to continue the business.”²⁶ Graham exhorted investors to become “ownership conscious.”²⁷

The research on activism bears out Graham’s thesis. An engaged shareholder can reduce agency costs by concentrating managers on creating shareholder value instead of pursuing other agendas. Shareholder activists may pursue a multitude of agendas, not necessarily seeking to improve intrinsic value or remove a market price discount, but activist investors seek only to deliver a return. The difference between activist investing and other forms of shareholder activism is the difference between whaling and whaling on the *Pequod*. The mandate is whales—deep undervaluation—not white whales—shareholder activism. This leads activist investors to seek different ends to other shareholder activists. Activist investors pressure boards to remove underperforming managers, stop value-destroying mergers and acquisitions, disgorge excess cash and optimize capital structures, or press for a sale of the company, all of which are designed only to improve shareholder value.

As a portfolio, companies with the conditions in place for activism offer asymmetric, market-beating returns. Activists exploit these properties by taking large minority stakes in these beaten-down stocks and then agitating for change. This agitation seems to improve both the short-term market performance, and longer-term operating performance of the companies targeted beyond the mere returns to deep value. The market reacts as if this is the case, popping on the filing of a 13D notice. Activists, by investing in target companies and then supplying the catalyst, capture this return. The more “aggressive” the activism—sale of the company, stock repurchases, asset spinoffs, ousting the CEO—the quicker and better the returns. The best returns are associated with an outright sale of the company, which delivers a full control premium. The activists who succeed in getting control then undertake many of the basic steps private equity firms would undertake if the company was taken private, typically changes the old management could have made, too. Icahn brags, “We do the job the LBO guys do, but for all the shareholders.”²⁸

Icahn has been described as the “ultimate contrarian,” and “the contrarian to end all contrarians,”²⁹ and his preferred targets have been described as looking “as appetizing as roadkill.”³⁰ Ken Moelis, an investment banker